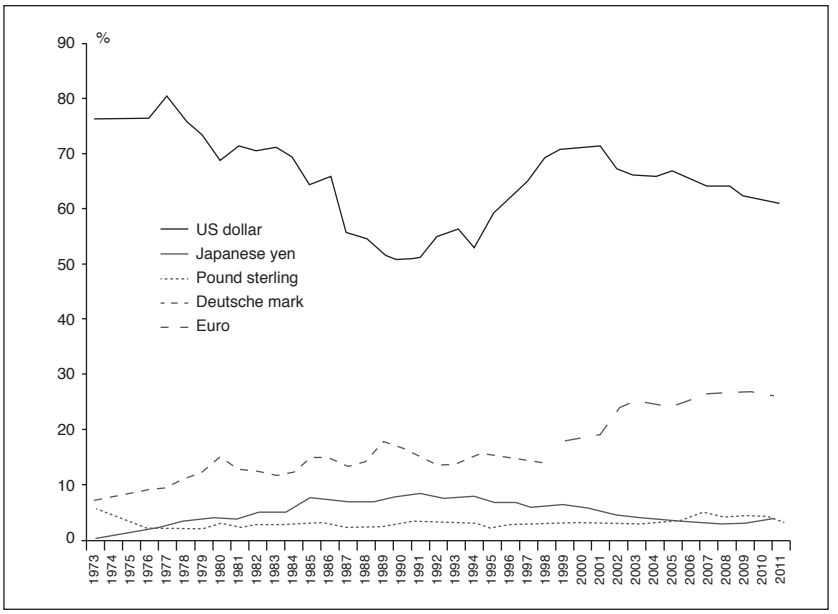
Figure 1. Shares of currencies in official holdings of foreign exchange, 1976–2011



Source: IMF COFER dataset

While the dollar hegemony under the Bretton Woods system was a manifestation of the US's overwhelming economic might, the lingering dollar hegemony after the Bretton Woods collapse was the most significant lifeline that the US relied on to slow its economic decline. The post-Bretton Woods continuation of the hegemony of the dollar after 1971 lasted even longer than the dollar hegemony under Bretton Woods.

The dollar's lasting prowess was first made possible by the exchange between the US and its military allies during the Cold War period, when the former provided a security umbrella and weapons in exchange for the latter's support of the use of dollars in trade and foreign-exchange reserves. The role of the US global military domination in warranting the dollar standard was well illustrated by numerous episodes at the height of the Cold War, when governments of America's European allies were requested to support the dollar by increasing their purchase of dollar instruments and US military supplies, paid in dollars, under the explicit threat of reduction of US troops stationed in their countries.

This dollar-security nexus ensured that the dollar would remain the dominant foreign reserve currency in Western Europe and Japan. It also ensured that the